



Building a Business Case

The math, logic, and structure to efficiently drive business needs



Agenda

01
Defining a
Business Case

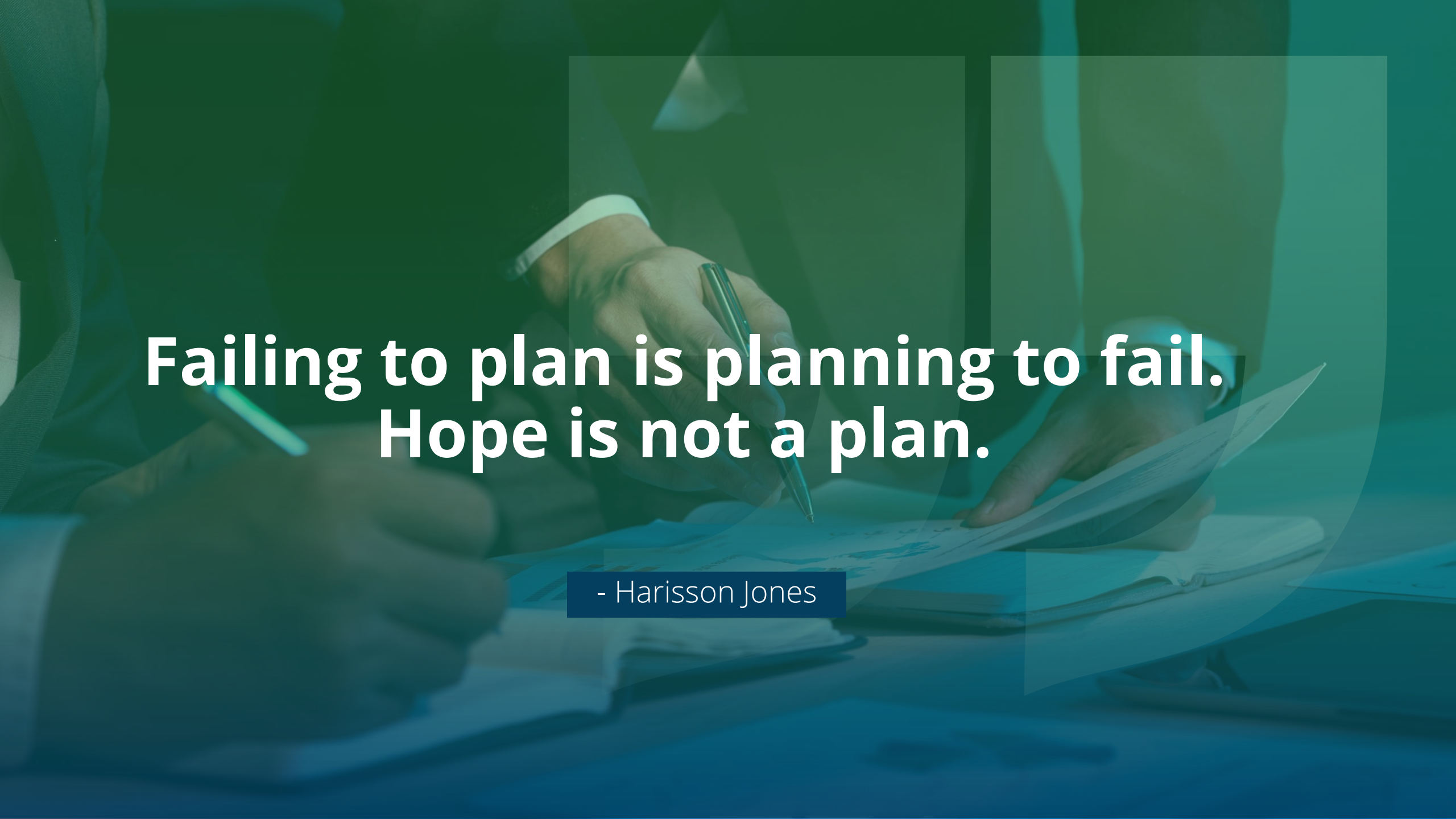
02
How a Business Case is
different than a
Business Plan

03
When you need a
Business Case

04
When a Business Case
is required

05
What a Business Case
is not



A background image showing a business meeting with people in suits, overlaid with a teal gradient. The image is used to illustrate the concept of planning.

**Failing to plan is planning to fail.
Hope is not a plan.**

- Harisson Jones



What is a business case?

A business case is a document that explains the value or benefits your company will gain if you pursue a significant business investment or initiative. This initiative can be anything from the messaging for a new product or feature launch, a proposal to increase spend on a current initiative, or a significant investment with a new agency or contractor—to name a few.

As organizations and companies become more focused on delivering real business value, it becomes increasingly important for the board of directors and senior executives to focus their attention on investments that deliver true value. Initiatives throughout the organization, including new products and services, innovations, CAPEX proposals, IT projects, investment opportunities, new business ventures, and marketing, are either accepted or rejected based on their business value.





The business case is a process of critically examining the opportunities, alternatives, project stages, and financial investment to recommend the best course of action that will create business value.



The business case is a way to communicate effectively with your peers and teams



This will allow your peers to see the thought, research, and knowledge required to have such desires or objectives



This will also allow your peers to 'buy-in' and support any unforeseen company growth opportunities





Business case vs. business plan

BUSINESS CASE

A business case is a proposal for a new strategy or large initiative. It should outline the business needs and benefits your company will receive from pursuing this opportunity.

BUSINESS PLAN

A business plan, on the other hand, is an outline for a totally new business. Typically, you'd draft a business plan to map out your business strategy, your mission and vision statements, and how you're planning on getting there. There may be a case where you create a business plan for an already-existing business, but you'd only do so if you're trying to take your business in a significantly new direction.





Do I need a business Case?

Not every project needs a business case—or even a project charter. Plan to build a business case only for initiatives or investments that will require significant business resources. If you're working on a smaller initiative, consider creating a project charter to pitch your project idea to relevant stakeholders.

Even if you don't need to pitch your project to any stakeholders, you should be ready to answer basic questions about your proposed project, like:

- What is this project's purpose?
- Why are we working on this project?
- How does this project connect to organizational goals and objectives?
- Which metrics will we use to measure the success of the project?
- Who is working on this project?
- When is this project going to be completed?





Required when



Demonstrate the value a proposed product or service would generate for your organization



Relocate business operations and manufacturing facilities



Obtain board approval for investment



Prioritize projects within your organization that are competing for funding and resources



Decide whether to outsource a particular function



Secure the financial funding and resources to implement the project





A business case is not to:

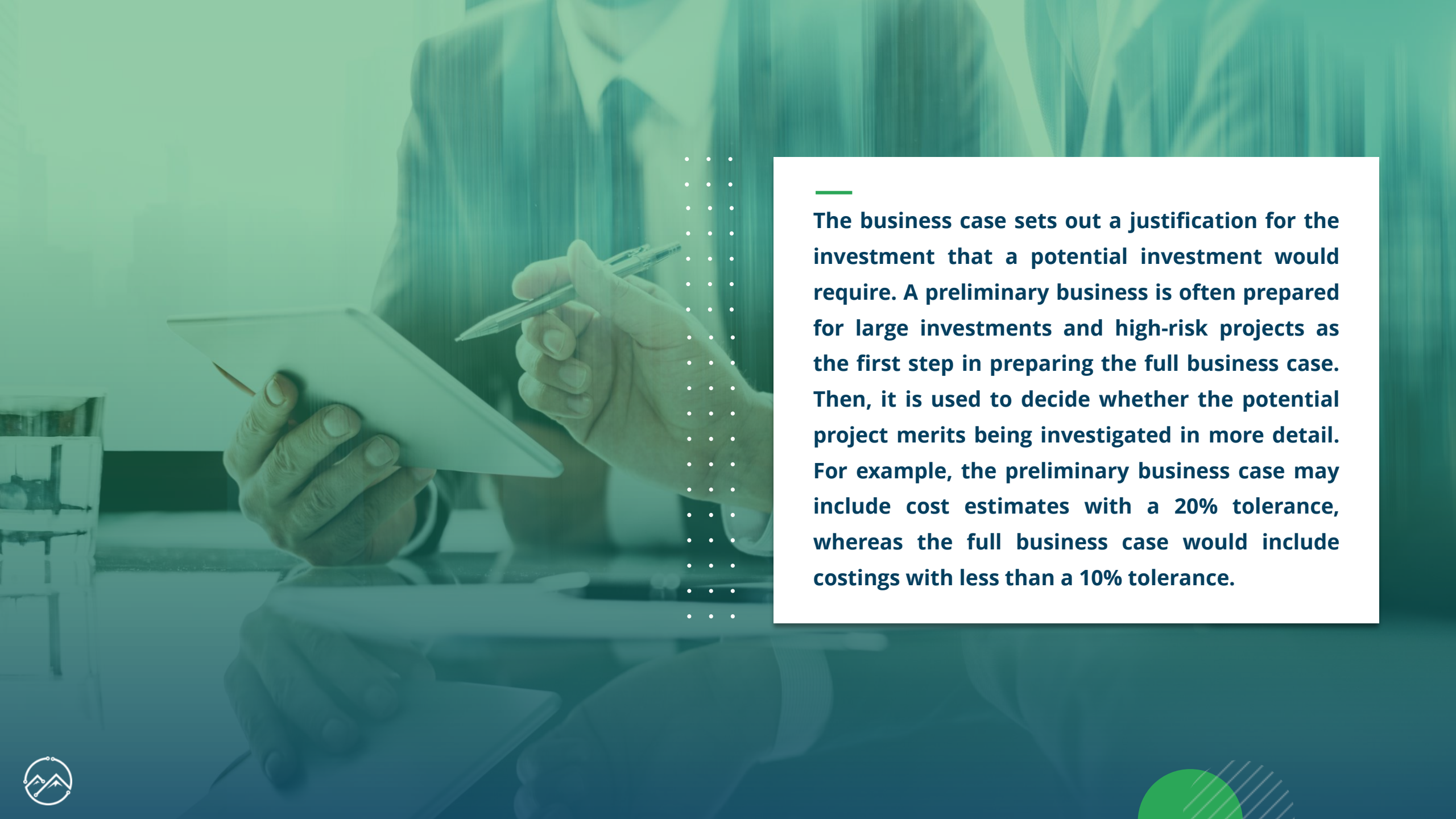
Micromanage budgets or accountability

A tool to communicate basic job performance and tasks

A way to deviate the course from it's vision and goals

A way to avoid accountability





The business case sets out a justification for the investment that a potential investment would require. A preliminary business is often prepared for large investments and high-risk projects as the first step in preparing the full business case. Then, it is used to decide whether the potential project merits being investigated in more detail. For example, the preliminary business case may include cost estimates with a 20% tolerance, whereas the full business case would include costings with less than a 10% tolerance.





Example

Joe Ghetter is a Senior Executive for a large software and services company called DiSaaSter

Joe finds it pivotal for his team to attend a new exciting conference that was announced with very little notice: MSP TurboCon 3000

Joe is concerned that his current budget would not allow for this exciting business opportunity as it's June and most of his budget is already spoken for

Joe is creative and passionate about how this could dramatically increase the opportunities for DiSaaSter and needs to convince the board for added budget

This conference is new so his peers need detailed information to buy into such risk

For optimal success, Joe needs to get approval ASAP so his teams can have ample time to ensure the outcome his peers expect of him



Joe Ghetter





The Needs

- Name
- Date
- Contribution to Business Strategy
- Options Considered
- Benefits
- Timescales
- Costs
- Expected ROI
- Risks

Project Business Case Example			
Project Name		MSP TurboCon 3000	
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Contribution To Business Strategy			
Options Considered			
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Contribution to Business Strategy

Business strategy is a clear set of plans, actions and goals that outlines how a business will compete in a particular market, or markets, with a product or number of products or services.

This is outlined in our V/TO at SPG

The Business case should, outline why the proposed caters and elevates the strategy of the company





Contributions of MSP TurboCon 3000

To achieve these goals, we will need to **grow our sales 250% in year 1, 500% in year 2, and 750% in year 3** to net a **500% increase**

With this in mind, the current budget does not give capacity to accommodate proactive investments **for year 2 and year 3's growth**



Here at DiSaaSter, we have a **3 year goal** to obtain market dominance with an increase of subscribership by **500%** to capture a total of **53% of the market**

While we are on target to hit our quotas and budgets this year, we need to plan and invest today in **our presence and brand recognition** for preparation for next years expectations

By attending a conference with 3000+ potential prospects, DiSaaSter is increasing brand recognition and sales opportunities far beyond it's current forecasts





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Options Considered			
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Options Considered

Options considered is a quick way to show that planning, analysis, and critical thinking were invested to come up with the proposed venture

This is also a creative way to communicate, especially to those that are skeptical, that the option being proposed is the best option





Options Considered by Joe and his team



**End of the
year promos**



**Co-marketing
opportunities**



**Client referral
program**



**Additional
Marketing and
Sales hires**



**Increased SEO
and Ad spend**





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Benefits			
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Benefits

While sometimes seeming obvious, benefits should be stated in a logical manner to illustrate how the proposed intends to contribute to the business strategy

These benefits can include both macro- and micro- benefits that may aid a business objective

This is also where any adverse effects of the proposed can be mentioned





Benefits of TurboCon 3000

- **3000+ contacts added to the CRM (netting X more than needed for year 1)**
 - With current average of 60% conversion ratio, netting over 1800 prospects
 - At a 50% closing ratio, that is ~900 new subscriptions
- **Exposure to prospects in adjacent communities**
- **PR Exposure through educational seminars**
 - 2 speaking slots included
- **Maintain competitive advantage by being present as our competitors will not be in attendance**
- **Getting a head start on Year 2 growth initiatives**
 - Putting us 4 months ahead of schedule





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Timescales

Timescales allow for you to communicate the amount of time that is both expected and accountable to complete the proposed plan

This can be both

- What you will be accountable to from your peers in completing all spending, costs, and resource allocations
- Also what you will hold your own teams accountable for in accomplishing milestones and objectives to recognize the promises from your plan

This will also demonstrate that thinking and planning has been considered when calculating total plan cost





Timeline for TurboCon 3000

OPTION #1

TurboCon is taking place October 2nd through October 5th with the team returning home on October 6th. Plan is to be completed no later than October 13th for all sales and marketing follow-up tasks to be entered into our CRM

OPTION #2

We expect all CRM data to be entered and the events of TurboCon 3000 to be completed by October 13th. With currently designed sales funnel and sequences, all 1800 forecasted prospects should be past or in decision stages by May





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Costs

One of the main and most important reasons that a business plan may be requested or needed is to understand the cost that the business will incur.

Taking the time to understand the full cost of all tasks to accomplish the business plan will be critical as any margin of error can result in an incomplete project, a new business plan to be developed, or missed expectations

If there are variables that may lead to costs being variable, make sure to be transparent in the minimum and maximum variations
E.g. +/- X(% or \$)





The cost of TurboCon 3000

Booth and Registration	\$50,000
Project Management	\$5,000
Hotel and Travel	\$10,000
Resource Cost	3 FT 1 PT \$10,000
Marketing	\$5,000
Giveaways	\$5,000
Reduced ad spending	-\$5,000
Deviation	+/- 5%
Total estimated Cost	\$76,000 - \$84,000





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Expected Return on Investment

When you put money into an investment or a business endeavor, ROI helps you understand how much profit or loss your investment has earned. Return on investment is a simple ratio that divides the net profit (or loss) from an investment by its cost.

In basic terms, are you getting more out than you put in?

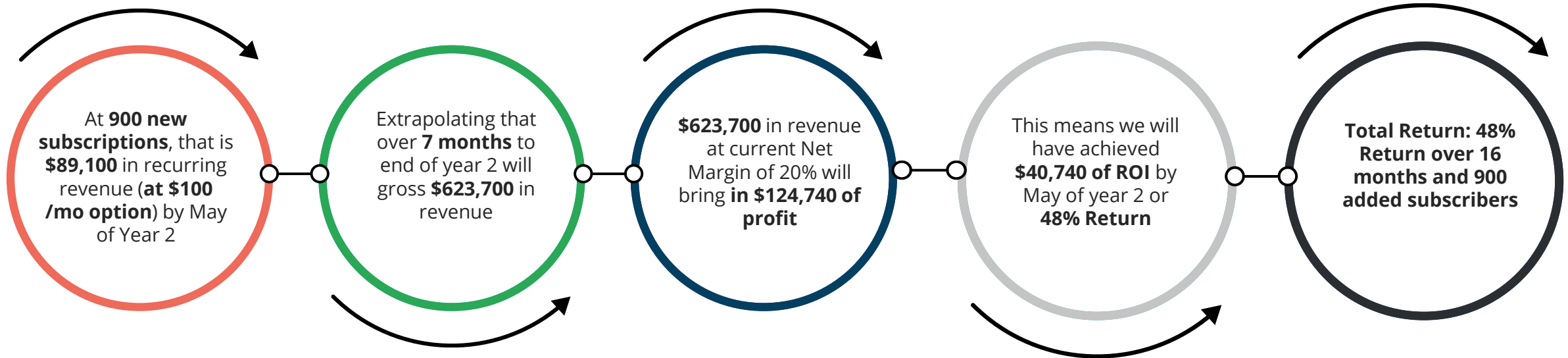
For a board of directors, this is the most important KPI when deciding 'risk vs. reward' with company assets

This is also what will come into play on how best to fund the proposed plan





ROI of TurboCon 3000





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Expected Return on Investment		At 900 new subscriptions, that is \$89,100 in recurring revenue (at \$100 /mo option) by May of Year 2 Extrapolating that over 7 months to end of year 2 will gross \$623,700 in revenue \$623,700 in revenue at current Net Margin of 20% will bring in \$124,740 of profit This means we will have achieved \$40,740 of ROI by May of year 2 or 48% Return Total Return: 48% Return over 16 months and 900 added subscribers	
Risks			





Risky Business

Every business decision you make as an owner has a subsequent level of risk

Failure to openly discuss the risks of a proposed plan can lead to friction amongst an executive team and a lack of accountability

All risks should be discussed to insure the overall health of the organization is always protected

This can be especially helpful for those peers that are unfamiliar with a department's expertise (especially for more technical departments)





Risks of TurboCon 3000



Low attendance: 600 subscriptions are required by may to break even. This means 2000 of the advertised 3000 attendees (66%) must show up to not net a loss



Added workloads to 4 team members could deviate from routine business needs



600-900 new subscribers will cause a surge of new work beyond our normal growth rate, this could cause backlogs in service OR deviation in service quality; netting lower client satisfaction





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